

are presented gross of fees, and realized returns would definitely be lower for active strategies—especially momentum, which is rebalanced monthly. However, as noted in [Table 9.3](#), the simple momentum and simple value strategies have earned returns that are 4 percent per year higher than the benchmark. As long as an investor can minimize transaction fees, asset management costs, and tax drag associated with these more active strategies, there is an opportunity to add value to a portfolio by a diligent DIY investor focused on the FACTS.

[Table 9.3](#) Domestic Equity Summary Statistics (1/1992–12/2014)

	SP500	Simple Value	Simple MOM
CAGR	9.58%	15.59%	14.85%
Standard Deviation	14.38%	16.97%	26.95%
Downside Deviation (MAR = 5%)	10.92%	13.54%	18.27%
Sharpe Ratio	0.52	0.78	0.55
Sortino Ratio (MAR = 5%)	0.48	0.81	0.68
Worst Drawdown	– 50.21%	–47.33%	–58.40%
Worst Month Return	– 16.70%	–20.67%	–28.17%
Best Month Return	10.93%	13.77%	42.73%
Profitable Months	64.49%	65.22%	63.04%

In [Table 9.4](#) we conduct the same analysis outlined above, but for international stocks (again, details on the construction of these portfolios are outlined in [Chapter 8](#)). Once again, simple value and momentum strategies outperform the buy-and-hold index by a wide margin. As was the case previously, the trick for the DIY investor is in identifying ways to minimize transaction costs, management fees, and taxes in the quest to capture the spread between value and momentum and the general market. In practice, more advanced value and momentum screening methodologies can